

M/s AVS Roto Pack Pvt. Ltd. & Another v. State of U.P. & Others

Allahabad High Court · Division Bench · 26 September 2016 · Writ - C No. 9148 of 2014 · **Writ petition disposed of. Finding a serious dispute of fact over the bill and recovery, the Court declined to entertain the challenge under Article 226 and relegated the petitioners to the statutory remedies - deposit-and-suit under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, or a complaint before the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 of the Supply Code, 2005 - leaving it open, alternatively, to seek installment payment under Clause 6.14.**

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HEADNOTE

An industrial consumer (a packaging-pouch manufacturer whose business had stalled after the Supreme Court's plastic-pouch ban and whose factory was under SARFAESI proceedings) challenged, under Article 226, a Tehsildar's recovery demand dated 28 February 2013 and a modified demand dated 10 December 2013 issued by the Executive Engineer, KESCO, contending that after it had applied on 30 September 2011 for permanent disconnection (said to be under Clause 4.14 of the U.P. Electricity Supply Code, 2005) no bill could validly be raised for the subsequent period, so the demand - pressed under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 - was per se bad. The licensee disputed the facts, asserting that the bank never took physical possession, that the connection was only temporarily disconnected on 31 January 2012, and that the demand had been reduced from Rs. 4,05,107 to Rs. 2,59,618 after adjusting security and deposits. A Division Bench of the Allahabad High Court held that a serious dispute of fact had arisen which it would not adjudicate under Article 226. Recovery being pressed under the 1958 Act, the Act required the consumer to deposit the amount and sue for any excess; alternatively, as a consumer under the Electricity Act, 2003 read with the Supply Code, 2005, the petitioner could invoke the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 (read with clauses 7.7.1 and 7.7.5). With those forums available to answer the disputed questions of fact, the Court declined to entertain the petition, leaving the petitioners to avail those remedies, and further left it open to them, if they did not wish to dispute, to seek installment payment under Clause 6.14 of the Supply Code.

FACTUAL SUMMARY

The petitioner, M/s AVS Roto Pack Pvt. Ltd. (through its Director Ambrish Kumar Chaurasia) and another, is a private limited company engaged in manufacturing and printing packaging pouches used by pan masala and gutka manufacturers; following the Supreme Court's orders of 7 December 2010 banning plastic pouches, its business came to a standstill. It held an electricity connection from KESCO, Kanpur, and had availed a cash-credit limit and a term loan from Bank of India. On the loan going unpaid, SARFAESI proceedings under Section 13(4) were initiated and, the petitioner said, possession of the property was taken on 6 September 2011; the company then applied on 30 September 2011 for permanent disconnection of the electricity connection, claiming to act under Clause 4.14 of the Supply Code, 2005. According to the petitioner no action was taken on that application, bills continued to be issued, and a demand letter followed; on objection the amount was modified to Rs. 2,59,618. The licensee's counter affidavit asserted that the bank never took physical possession, that spot inspection followed the disconnection application and the connection was temporarily disconnected on 31 January 2012, that an auction was held on 28 May 2012, and that the original bill of Rs. 4,05,107 was reduced to Rs. 2,59,618 after adjusting the security and part-payments (a Rs. 65,000 cheque having been dishonoured), the modified notice being issued under Section 3 of the 1958 Act. The petitioner had deposited 10% of the recovery amount with the Tehsil. This Court had earlier, on 19 February 2014, stayed recovery of the impugned demands on condition of a deposit of Rs. 1 lakh. The petition challenged the Tehsildar's recovery demand dated 28 February 2013 and the Executive Engineer's modified demand dated 10 December 2013.

REUSABLE CONSTRUCTIONS

1. Where electricity dues are pressed under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, the Act's own scheme requires the consumer to deposit the amount and then sue for recovery of any excess; a writ raising disputed questions of fact about such dues is not entertained under Article 226 and the consumer is relegated to that remedy. **26.9.2016**
2. A consumer aggrieved by the licensee's billing/recovery action has an alternative remedy before the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 of the Supply Code, 2005 (for matters within

clauses 7.7.1 and 7.7.5), the licensee being bound to settle the complaint within the time limit specified in the Code.

26.9.2016

3. Disputed questions of fact concerning an electricity bill or recovery are not adjudicated under Article 226 where statutory forums - the 1958 Act's deposit-and-suit remedy and the Supply Code's grievance-redressal mechanism - are available to answer them. 26.9.2016
4. A consumer unwilling to litigate the dispute but seeking time to pay may approach the authority for payment of the dues in installments under Clause 6.14 of the Supply Code, 2005, based on financial condition. 26.9.2016

HOLDING-UNITS

INTERPLAY · UPGEU1958::3

RATIO

Dues recovered under the 1958 Act: consumer must deposit and sue; disputed questions of fact not entertained under Article 226

QUESTION

Where electricity dues are being recovered under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958 and the consumer disputes the bill on questions of fact, should the High Court entertain the challenge under Article 226 or relegate the consumer to the statutory remedy?

HOLDING

The High Court will not entertain the disputed questions of fact under Article 226. Recovery being pressed under the 1958 Act, the Act itself provides that the consumer shall deposit the amount and file a suit for recovery of any excess; with that alternative forum available for answering the disputed questions of fact, the Court declined to entertain the Article 226 petition and left the petitioners to avail the remedy. 26.9.2016

EVIDENCE “the recovery in question is being pressed under the provisions of U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 as amended from time to time, then under the aforesaid Act there is a provision that the consumer shall deposit the amount in question and shall file suit for recovery of amount thereafter in case any grievance is there on the front of excess payment” 26.9.2016

EVIDENCE “we are not at all entertaining the request that has been so made under Article 226 of the Constitution of India but we certainly leave it open to the petitioners to avail the remedy that is provided for getting their dispute settled” 26.9.2016

FLAG Order-sheet matter with no printed page numbers or numbered paragraphs; pins are keyed to the operative order dated 26.9.2016. Keyed to UPGEU1958::3, the recovery provision under which the modified notice was issued; type marked interplay as the holding sets the 1958 Act's deposit-and-suit scheme against Article 226 and the Supply Code remedies.

HOLDING-UNIT · UP-2005::7.10

RATIO

Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 is the alternative remedy for a billing/recovery grievance

QUESTION

Whether a consumer aggrieved by the licensee's billing/recovery action has an alternative remedy before the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 of the Supply Code, so as to justify non-entertainment of the writ?

HOLDING

Yes. Being a consumer under the Electricity Act, 2003 read with the Supply Code, 2005, the petitioner can lodge a complaint before the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 (in respect of matters mentioned in clauses 7.7.1 and 7.7.5); the licensee is obliged to settle the complaint within the time limit specified in the Code, and if the consumer is dissatisfied a complaint lies before the Consumer Grievance Forum. This alternative forum being available to answer the disputed questions of fact, the writ was not entertained. 26.9.2016

EVIDENCE “wherein under clause 7.10, there is a Consumer Grievance Redressal Forum & Ombudsman wherein the consumer can proceed to lodge his complaint against the action of in respect of matter mentioned in clauses 7.7.1 and 7.7.5” 26.9.2016

HOLDING-UNIT · UP-2005::6.14

OBITER

Installment facility under Clause 6.14 left open to a consumer in financial distress

QUESTION

If the consumer does not wish to dispute the dues but seeks time to pay, what remedy is available?

HOLDING

The petitioners may approach the concerned authority for payment of the dues in installments, based on their financial condition, as provided under Clause 6.14 of the Supply Code, 2005; the Court left this course open while disposing of the petition. **26.9.2016**

EVIDENCE “intend to have installment facility for making payment that is due, then petitioners can always approach the Authority concerned for making payment in installment based on financial conditions as is provided for under Clause 6.14 of Electricity Supply Code, 2005” **26.9.2016**

FLAG Conditional liberty granted while disposing of the petition; marked obiter as it is a subsidiary direction rather than the ratio of the non-entertainment.

PRINCIPLE TAGS

disputed-questions-of-fact-not-adjudicable-under-article-226 A serious factual dispute over the electricity bill and recovery (whether billing could continue after the permanent-disconnection application; whether the bank took possession; the effect of the temporary disconnection and the auction) is not adjudicated in writ; the statutory forums must answer it. **26.9.2016**

clause-7.10-forum-ombudsman-route-for-billing-grievances The consumer's billing/recovery grievance lies before the Consumer Grievance Redressal Forum and Ombudsman under Clause 7.10 (read with 7.7.1 and 7.7.5) of the Supply Code, 2005, with the licensee bound to settle within the Code's time limit. **26.9.2016**

instalment-facility-clause-6.14-for-financial-distress A consumer in financial distress who does not wish to dispute the dues may seek payment in installments under Clause 6.14 of the Supply Code, 2005. **26.9.2016**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, AFTER THE PETITIONERS' APPLICATION FOR PERMANENT DISCONNECTION DATED 30 SEPTEMBER 2011 (SAID TO BE UNDER CLAUSE 4.14 OF THE SUPPLY CODE, 2005), THE LICENSEE COULD VALIDLY CONTINUE TO BILL AND RAISE THE RECOVERY FOR THE SUBSEQUENT PERIOD

A disputed question of fact left to the alternative forum; the Court recorded a serious dispute over the bill and did not decide it. **26.9.2016**

NOT DECIDED — CORRECTNESS AND QUANTUM OF THE MODIFIED DEMAND (RS. 2,59,618) AND THE LEGALITY OF THE TEMPORARY DISCONNECTION OF 31 JANUARY 2012

Not adjudicated; to be resolved through the deposit-and-suit remedy under the 1958 Act or before the CGRF/Ombudsman under Clause 7.10. **26.9.2016**

RELATED CASES — SEE ALSO

SCJ-1198 — Raja Ram Ispat - near-identical disposal: writ relegated to the CGRF under Clause 7.10 with installments under Clause 6.14.

SCJ-218 — Paliwal Alloys - recovery under UPGEU 1958 (Section 3) disposed on alternate-remedy lines, the assessee relegated to the statutory appeal.

SCJ-096 — Om Prakash - consumer relegated to the Consumer Grievance Redressal Forum under Clause 7.10; alternate-remedy disposal of a billing grievance.